**IN THE NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI**
**COURT-V**

**Item No.-05**

CA (CAA) No.-10/230/232/ND/2023 (1st Motion)

**IN THE MATTER OF:**

Leisure Corp Pvt. Ltd. And Ors. With Ebix Travels Ltd. **....Applicant**

**SECTION**

U/s 230-232 **Order delivered on 17.04.2023**

**CORAM:**
**SHRI P.S.N PRASAD,**
**HON'BLE MEMBER (JUDICIAL)**

**DR. BINOD KUMAR SINHA,**
**HON'BLE MEMBER (TECHNICAL)**

**PRESENT:**

For the Applicant :
For the Respondent :

**ORDER**

Order pronounced in open court vide separate sheets. CA (CAA) No.-10/230/232/ND/2023 (1st Motion) is **allowed.**

**Sd/-** **Sd/-**
**(DR. BINOD KUMAR SINHA)** **(P.S.N PRASAD)**
**MEMBER (T)** **MEMBER (J)**

**BEFORE THE NATIONAL COMPANY LAW TRIBUNAL**

**COURT NO. V, NEW DELHI**

**CA (CAA) -10/ (ND)/2023**

**IN THE MATTER OF SECTIONS 230-232 OF THE COMPANIES ACT, 2013**

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

**In the matter of Scheme of Amalgamation and Merger**

**OF**

**LEISURE CORP PRIVATE LIMITED**
(Applicant Company-1 /Transferor Company)

**AND**

**EBIX TRAVEL & HOLIDAYS PRIVATE LIMITED**
(Applicant Company-2/Transferee Company)

**AND**

**EBIX TOURS AND TRAVELS PRIVATE LIMITED**
(Applicant Company-3/Transferor Company)

**WITH**

**EBIX TRAVELS PRIVATE LIMITED**
(Applicant Company-4/Transferee Company)

**CORAM:**

**JUSTICE P.S.N PRASAD HON'BLE MEMBER (JUDICIAL)**

**DR. BINOD KUMAR SINHA, HON'BLE MEMBER (TECHNICAL)**

## MEMO OF PARTIES

**Leisure Corp Private Limited**

**Registered Office at:** Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India.

**...Transferor Company/Applicant Company-1**

**AND**

**Ebix Travel & Holidays Limited**

**Registered office at:** Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India.

**...Transferor Company/Applicant Company-2**

**AND**

**Ebix Tours and Travels Private Limited**

**Registered office at:** Flat No. 101, First Floor, 4832/24, Ansari Road, Darya Ganj, New Delhi 110002, India.

**...Transferor Company/Applicant Company-3**

**WITH**

**Ebix Travels Private Limited**

**Registered office at:** Flat No. 101, First Floor, 4832/24, Ansari Road, Darya Ganj, New Delhi 110002, India.

**...Transferee Company/Applicant Company-4**

**Order Delivered on**: 17.04.2023

**O R D E R**

**PER: SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)**

**1.** This is a joint application filed by the applicant companies herein, **M/s Leisure Corp Private Limited** (Transferor Company/ Applicant Company-1), **M/s Ebix Travel & Holidays** (Transferor Company/ Applicant Company-2) and **M/s Ebix Tours and Travels Private Limited** (Transferor Company/ Applicant Company-3) with **M/s Ebix Travels Pvt. Ltd.** (Transferee Company/Applicant Company-4) under Section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement in the nature of amalgamation (hereinafter referred to as the "SCHEME") proposed between the applicants.

**2.** Affidavit in support of the above application sworn by Mr. Mahkar Singh being the authorized signatory of the respective Applicant companies, who has been authorized vide board resolutions dated 08.11.2022 for the Transferor Company No. 1, dated 09.11.2022 for the Transferor Company No. 2, dated 10.11.2022 for the Transferor Company No. 3 and dated 01.11.2022 for Transferee Company respectively, were duly filed, along with the application. It was also represented that the registered office of the applicant companies are under the domain of Registrar of Companies, NCT of New Delhi & Haryana and therefore within the territorial jurisdiction of this Tribunal.

**3.** The Applicant Company No. 1/Transferor Company, Leisure Corp Private Limited (CIN- 63040DL2001PTC393891) was incorporated under the

provisions of the Companies Act, 1956, as a private limited company vide Certificate of Incorporation dated 10.07.2001 having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 1/Transferor Company is Rs. 1,50,00,000/- divided into 15,00,000 Equity Shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 50,00,000/- divided into 5,00,000 Equity Shares of Rs. 10/- each. The Applicant Company No.1/Transferor Company, vide their meeting of the Board of Directors held on 08.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

**4.** The Applicant Company No. 2/Transferor Company Ebix Travel & Holidays Limited is a private limited company incorporated under the provisions of Companies Act, 1913, vide Certificate of Incorporation dated 31.03.1948 (CIN-U63040DL1948PLC402251) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 2/Transferor Company is Rs. 5,00,00,000/- divided into 50,00,000/- Equity shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 4,25,00,000/- divided into 42,50,000 Equity Shares of Rs.10/- each. The Applicant Company No. 2/Transferor Company, vide their meeting of the Board of Directors held on 09.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

**5.** The Applicant Company No. 3/Transferor Company Ebix Tours and Travels Private Limited is a private limited company incorporated under the provisions of Companies Act, 1956, vide Certificate of Incorporation dated 13.09.1991 (CIN-U63040DL1991PTC393341) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 3/Transferor Company is Rs. 3,00,00,000/- divided into 3,00,000 Equity shares of Rs. 100/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 2,90,73,000/- divided into 2,90,730 Equity Shares of Rs.100/- each. The Applicant Company No. 3/Transferor Company, vide their meeting of the Board of Directors held on 10.11.2022 have unanimously approved the proposed Scheme of Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

**6.** The Applicant Company No. 4/Transferee Company Ebix Travels Private Limited is a private limited company incorporated under the provisions of Companies Act, 1956, vide Certificate of Incorporation dated 05.02.2007 (CIN-U63040DL2007PTC392725) with Registrar of Companies, NCT of Delhi & Haryana and having its registered office at Flat No. 101, First Floor, 4832/24 Ansari Road, Darya Ganj, New Delhi 110002, India. The Authorized Share Capital of the Applicant Company No. 4/Transferee Company is Rs. 51,00,00,000/- divided into 5,09,60,000 Equity shares of Rs. 10/- each and 40,000 Preference Shares of Rs. 10/- each. The present issued, subscribed and paid-up share capital of the Company is Rs. 46,34,86,440/- divided into 4,63,48,644 Equity Shares of Rs.10/- each. The Applicant Company No. 4/Transferee Company, vide their meeting of the Board of Directors held on 01.11.2022 have unanimously approved the proposed Scheme of

Amalgamation as contemplated above. Copies of said resolutions passed in the said board meetings have been placed on record.

**7.** The Transferor Companies as well as the Transferee Company have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses, as well as their last Audited Annual Accounts for the Financial Year 31.03.2022.

**8.** It has been stated that the Applicant Company-1/Transferor Company has 7 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Applicant Company-1 has nil Secured Creditor and 27 Unsecured Creditors and they seek to dispense with the meeting with regards to Shareholder in view of the consent affidavit placed by them. Since the Company has nil Secured Creditor, therefore the necessity of convening/holding a meeting does not arise. It was further represented that the Applicant Company-1 has 27 Unsecured Creditors and they seek to dispense with the meeting with regards to Unsecured Creditors in view of the consent affidavits placed by them.

**9.** It has been stated that the Applicant Company-2/Transferor Company has 7 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Secured and 18 Unsecured Creditor. Since the Company has nil Secured Creditors, therefore, the necessity of convening/holding a meeting does not arise. In relation to the 18 Unsecured Creditors, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record.

**10.** It has been stated that the Applicant Company-3/Transferor Company has 7 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Secured and 80 Unsecured Creditor. Since the Company has nil Secured Creditors, therefore, the necessity of convening/holding a meeting does not arise. In relation to the 80 Unsecured Creditors, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record.

**11.** It has been stated that the Applicant Company-4/Transferee Company has 7 Shareholders. Certificate from Chartered Accountants certifying list of shareholders was annexed and all of them have given their respective consents by way of affidavits which were annexed to the application. It was further represented that the Company has nil Secured and 44 Unsecured Creditor. Since the Company has nil Secured Creditors, therefore, the necessity of convening/holding a meeting does not arise. In relation to the 44 Unsecured Creditors, it seeks dispensing with holding/convening of the meetings as their consent affidavits were placed on record.

**12.** The appointed date as specified in the Scheme is 01.04.2022 subject to the directions of this Tribunal.

**13.** The Applicant Companies confirmed that the provisions relating to the accounting treatment for the proposed demerger, as contained in the Scheme, were in conformity with the applicable provisions of the Companies Act, 2013. Certificates from respective Statutory Auditors of the Companies on the accounting treatment, as proposed in the Scheme, were annexed to the

application and it is clearly stated that the Accounting treatment is in conformity with the applicable prescribed under Section 133 of Companies Act, 2013.

**14.** The Applicant Companies have stated that no proceedings for inspection, inquiry or investigation were pending against any of the Applicant Companies.

**15.** Taking into consideration the submissions and the documents filed therewith, the following directions are issued with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured and Unsecured Creditors as well as issue of notices including by way of paper publication as follows:

**A. <u>In relation to the Applicant Company-1:</u>**

**a) With respect to Equity shareholders:** In view of consent affidavits from 7 equity shareholders, having 100% voting share, been filed, convening the meeting of shareholders/members is dispensed with.

**b) With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

**c) With respect to Unsecured Creditors:** In view of consent affidavits from 27 Unsecured Secured Creditors comprising 90.89% of the total amount of debt, convening the meeting of Unsecured Creditors is dispensed with.

**B. <u>In relation to Applicant Company-2:</u>**

**a) With respect to Equity shareholders:** In view of consent affidavits, from 7 equity shareholders, convening the meeting of shareholders/members is dispensed with.

**b) With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** In view of consent affidavits from 18 Unsecured Secured Creditors comprising 94.44% of the total amount of debt, convening the meeting of Unsecured Creditors is dispensed with.

**C. <u>In relation to Applicant Company-3:</u>**

a) **With respect to Equity shareholders:** In view of consent affidavits, from 7 equity shareholders, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** In view of consent affidavits from 80 Unsecured Secured Creditors comprising 91.37% of the total amount of debt, convening the meeting of Unsecured Creditors is dispensed with.

**D. <u>In relation to Applicant Company-4:</u>**

a) **With respect to Equity shareholders:** In view of consent affidavits, from 7 equity shareholders, convening the meeting of shareholders/members is dispensed with.

b) **With respect to Secured Creditors:** There are nil Secured Creditor, therefore the necessity of convening a meeting does not arise.

c) **With respect to Unsecured Creditors:** In view of consent affidavits from 44 Unsecured Secured Creditors comprising 90.62% of the total amount of debt, convening the meeting of Unsecured Creditors is dispensed with.

**19.** Notice of this application shall also be served on the following:

i. Regional Director, Ministry of Corporate Affairs, B-2 Wing, 2 Floor, Paryawaran Bhavan, CGO Complex, New Delhi-110003;

ii. Registrar of Companies at 4th floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

iii. Income Tax Department, Income Tax Office, Additional Commissioner of Income Tax, Special Range 4, Central Revenue Building, IP Estate, New Delhi-110002. The notices to Income Tax Authorities shall disclose sufficient details like PAN, ward numbers and assessing officers so that timely and proper reply may be filed.

iv. Any other sectoral regulators required to be served.

The application stands allowed on the aforesaid term and disposed off.

**Sd/-**
**(DR. BINOD KUMAR SINHA)**
**MEMBER (TECHNICAL)**

**Sd/-**
**(SHRI P.S.N. PRASAD)**
**MEMBER (JUDICIAL)**